The Intersection of Psychology and Economics

The study of what makes us all tick is endlessly fascinating. It is particularly intriguing to me that it plays such a strong role in investing, a world that is generally presumed to be dominated by cold numbers and soulless data. When it comes to investment decisions, our behavior is sometimes erratic, often contradictory, and occasionally goofy.

What is particularly alarming, and what all investors need to grasp, is that they are often unaware of their bad decisions. To fully understand the markets and investing, we now know we have to understand our own irrationalities. The study of the psychology of misjudgment is every bit as valuable to an investor as the analysis of a balance sheet and an income statement.

In recent years we have seen what amounts to a revolution, a new way of looking at issues of finance through the framework of human behavior. This blending of economics and psychology is known as behavioral finance, and it has slowly moved down from the universities' ivory towers to become part of the informed conversation among investment professionals . . . who, if they look over their shoulders, will find the shadow of a smiling Ben Graham.

Meet Mr. Market

Ben Graham, widely known as the father of financial analysis, has taught three generations how to navigate the stock market with a mathematical road map. But what is often overlooked is Graham's teachings on psychology and investing. In both *Security Analysis* and *The Intelligent Investor*, Graham devoted considerable space to explaining how investor emotions trigger stock market fluctuations.

Graham figured that an investor's worst enemy was not the stock market but oneself. They might have superior abilities in mathematics, finance, and